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1949

FAR EASTERN

CHINA

F 2773 /G

F 2773 / 10127 / 10G.

Mr. H. A. Graves. British Embassy Washington to Mr. Dening. G. 5/47/49. 14th. February. 21st. February.

Formosa; Status of the present Japanese occupation & administration 10

Last Paper

F 2634

References

F 2120/ 10127/10.

F 2774/ 1194/61G.

(Print)

(How disposed of)

Comps. with memo on Formosa in F 2120 to Col. Kellie N.I.D. with Mr Scarlett's Comps. 3rd March.

(Action completed) 7/3

(Index) Regd. 22/10/49

Next Paper

(Minutes)

2 pp

See minutes:-

(1) 44/104/49 of 14/2 from Mr H.A. Graves. Washington to Mr. Dening.

Since any action to prevent Formosa from falling into Communist hands would presumably have to be taken on the basis of an American initiative I do not think we can do more than wait for the Americans to make up their minds. If they eventually decide to gather some sort of trusteeship arrangement (which seems to be favoured by the U.S. Ambassador in China as well as by some circles in Washington) we can consider it on its merits when the proposal is made.

W.F. Tomlinson 23/2

1 copy - pencilled copy of contents of this jacket + memo on Formosa in F 2120 shown to Col Kellie (N.I.D.) with my Comps.

J.B. Scarlett 26/2

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F.E. Dept.

Enclosure 11

BRITISH EMBASSY
WASHINGTON

G. 5 /47/49.

14th February, 1949.

TOP SECRET

F 2773 / G

Dear Dening,

F 2120/10127/10

Your letter of 8th February about Formosa arrived just after we had read a very interesting Chiefs of Staff Committee paper - General Strategic Implications of the Situation in China as foreshadowed in the Foreign Office Appreciation - COS (49) 29 of 20th January 1949, in paragraph 15 of which the Committee say:-

> "On military grounds we should oppose any proposals to "reduce United States forces in the area, and discuss "with the Americans the possibility of reasserting the "authority of the Supreme Commander for the Allied Powers "in Formosa".

2. We had ourselves been a little surprised at the assertion in paragraph 3 of Nanking telegram No.27 of 6th January to the effect that "Legally the island is still Japanese territory and as such under the authority of SCAP". A cautious enquiry brought the response from Allison of the State Department that he does not consider Formosa to be legally under SCAP's authority. Allison was of course speaking personally and it does not follow that the State Department's legal advisers would necessarily endorse his interpretation. Allison went on from there to flirt with the idea of a trusteeship arrangement.

3. The Chiefs of Staff paper gave me the impression that the correct view, and probably the one held in London, was that the Supreme Commander could reassert his authority over Formosa. But your letter puts us back to our original understanding and I think it would not be difficult to get from the State Department - if it were needed - an oral confirmation of our opinion that Formosa is legally enemy territory under Allied occupation. Whether we could obtain a written confirmation with any ease is more doubtful.

M.E. Dening, Esq., C.M.G., O.B.E.,
Foreign Office,
London, S.W. 1

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4. Just after seeing the Chiefs of Staff paper I had written a Minute about the position in Formosa and had mentioned that the Americans were turning over in their minds the institution of a trusteeship. My minute went on to play with the idea that it might be advantageous for us to join with United States and China in a trusteeship arrangement ((a) it would help to keep America interested in the Far East and South East Asia. (b) it would be a powerful bargaining point with the communists. (c) it would sustain our position in Hong Kong. (d) it would be economically profitable). But in the light of your sentence - "strictly speaking any change in the present position could only be made on the basis of agreement between the four Powers to whom Japan surrendered" - it seems hardly worth putting the arguments to you (as Derick Hoyer Millar had suggested). Trusteeship proposals would have to go before United Nations and I take it that one of the points we should now particularly wish to avoid would be the pre-eminent position of the Big Four (two of whom might be communist powers). So I should judge that the present is not the time to consider trusteeship proposals. It may nevertheless be important for someone (presumably the Americans) to think out how the communists are to be prevented from acquiring Formosa.

5. As this letter refers to a Chiefs of Staff paper I am duplicating paragraph 2 of this note so that a copy can be sent to Nanking.

Yours ever,

H.A. Graves

H.A. Graves

F 2773 / G

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BRITISH EMBASSY
WASHINGTON

74/104/49

14th February, 1949.

SECRET

Dear Dening,

Your letter of 8th February about Formosa.

We had ourselves been a little surprised at the assertion in paragraph 3 of Nanking telegram No.27 of 6th January to the effect that "Legally the island is still Japanese territory and as such under the authority of SCAP". A cautious enquiry brought the response from Allison of the State Department that he does not consider Formosa to be legally under SCAP's authority. Allison was of course speaking personally and it does not follow that the State Department's legal advisers would necessarily endorse his interpretation. Allison went on from there to flirt with the idea of a trusteeship arrangement. He had not of course thought this out to any extent but he and others in the State Department are most concerned to see that Formosa shall not come under communist control. The present position, as seen in Washington, is that the U.S. Services would like to retain facilities in the island. But whilst the State Department would consider this reasonable they would wish to steer clear of any action which could be described as imperialistic. State Department minds therefore turn very naturally to trusteeship.

If I hear any more on this I will let you know.

A copy of this letter is being sent to Nanking.

Yours ever,

H.A. Graves

M.E. Dening, Esq., C.M.G., O.B.E.,
Foreign Office,
London, S.W. 1

P.S. Please link to my letter G.5/47/49 of today's date H.A.G.